Question #1 of 42

Question ID: 1580652

Decision-reversal risk is likely to:

A) occur in large institutional portfolios with exposure to alternative investments.

B) occur when an investor changes investment strategy.

C) create a skewed distribution of portfolio return.

Explanation

Decision-reversal risk is thoughtlessly reversing a previous investment decision at the worst time; it is much more than merely changing investment strategy as the key words are *worst time*. It commonly occurs when less knowledgeable investors get into complex positions they do not understand, panic when things don't go well, and sell. Thoughtless selling when an asset is down would likely reduce upside recovery and create negative (cut of the upside) skew in the returns.

It refers primarily to the investor panicking and is presumably less common in more knowledgeable institutional investors who have more access to investment information.

(Module 3.1, LOS 3.a)

Question #2 of 42

Question ID: 1674561

Which of the following statements regarding the strategic asset allocation process is *least accurate*?

A) The strategic asset allocation review is typically performed once per year.

B) The strategic asset allocation must be rebalanced periodically for changes in the valuation of the various asset classes in the portfolio.

C) Strategic asset allocation, similar to tactical asset allocation, employs a short-run capital market projection.

Explanation

Strategic asset allocation employs a long-term capital market projection.

(Module 3.4, LOS 3.g)

Question #3 of 42

Question ID: 1580662

Which of the following characteristics of asset classes is *most* desirable? Asset classes should:

A) be correlated with each other. ✗

B) have an index. ✗

C) be mutually exclusive. ✓

Explanation

Desirable characteristics of asset classes are as follows: they cannot be classified into more than one asset class (be mutually exclusive), they should not be highly correlated with each other, the assets within an asset class have similar descriptive as well as statistical characteristics, are sufficiently liquid, and they cover the majority of all investable assets.

(Module 3.4, LOS 3.e)

Question #4 of 42

Question ID: 1580661

An investor mentions to her portfolio manager that her main goal is to maximize her portfolio's Sharpe ratio while also considering her risk tolerance and constraints. Which of the following asset allocation approaches is *most appropriate* for the investor?

A) Goals-based approach. ✗

B) Liability-based approach. ✗

C) Asset-only approach. ✓

Explanation

By looking to maximize her portfolio's Sharpe ratio, the investor is focusing on the portfolio assets only. As a result, an asset-only approach is most appropriate. The asset-only approach will consider both the investor's risk tolerance and constraints.

Both the liability-based and goals-based approaches consider assets in the context of liabilities.

(Module 3.3, LOS 3.c)

Question #5 of 42

Question ID: 1580658

Mark Zedon, a financial consultant, prepares a strategic asset allocation for his client based on the client's risk/return preferences. This approach to strategic asset allocation is called the:

A) asset-only approach. ✓

B) investment policy statement approach. ✗

C) efficient frontier approach. ✗

Explanation

Because the consultant only takes into account the investor's risk and return preferences, he is using the asset-only approach to strategic asset allocation.

(Module 3.3, LOS 3.d)

Question #6 of 42

Question ID: 1551632

An investor is expecting to retire sometime within the next two years. In a target date fund, what should the recommended equity/bond allocation be for this investor?

A) 10% equity; 90% bonds. ✗

B) 95% equity; 5% bonds. ✗

C) 50% equity; 50% bonds. ✓

Explanation

As an investor ages, the equity/bond mix generally shifts toward bonds as human capital and risk tolerance decrease. Given the extreme differences in these allocations, 50/50 is far more plausible in the absence of any other information.

(Module 3.2, LOS 3.b)

Question #7 of 42

Question ID: 1580656

An organization has positive economic net worth. This implies that the:

A) organization’s accounting owner’s equity is also positive. ✗

B) value of economic assets exceeds the value of economic liabilities. ✓

C) value of extended portfolio assets exceeds the value of extended portfolio liabilities. ✗

Explanation

A positive economic net worth implies that the value of the organization's economic assets exceeds the value of economic liabilities.

Economic assets and liabilities includes the traditional accounting balance sheet assets and liabilities as well as extended portfolio assets and liabilities that are not included on traditional balance sheets. Therefore, extended portfolio assets and liabilities alone do not cover off economic net worth.

Although it would be unusual in practice, the economic net worth could be positive in theory, even if the accounting owner's equity is negative.

(Module 3.2, LOS 3.b)

Question #8 of 42

Question ID: 1580678

Each of the following statements concerns either strategic asset allocation or tactical asset allocation. Which of the following statements is *least accurate*?

A) Strategic asset allocation is typically a constant mix strategy. ✗

B) Strategic asset allocation employs a long-run view of capital market conditions. ✗

C) Tactical asset allocation employs a long-run view of capital market conditions. ✓

Explanation

Tactical asset allocation is an attempt to take advantage of temporary capital market inefficiencies and takes a short-run view of market conditions. Both of the other statements are true.

(Module 3.6, LOS 3.j)

Question #9 of 42

Question ID: 1580676

What is the major difference between dynamic asset allocation and static asset allocation?

Dynamic asset allocation:

A) considers more than one asset class, while static asset allocation only considers one asset class at a time. ✗

B) considers asset and liability management simultaneously, while static asset allocation does not. ✗

C) takes a multiperiod view of the investment horizon, while static asset allocation does not. ✓

Explanation

Dynamic asset allocation takes a multiperiod view of the investment horizon, while static asset allocation does not. Dynamic asset allocation and static asset allocation both can be used for asset-only or asset-liability approaches to strategic asset allocation. Both dynamic and static asset allocation approaches consider more than one asset class.

(Module 3.6, LOS 3.i)

Question #10 of 42

Question ID: 1551635

Which of the following investment objectives is *most likely* associated with asset-only asset allocation approaches?

A) Funding liabilities when they come due. ✗

B) Meeting specific goals within a certain degree of confidence. ✗

C) Maximizing expected return per unit of risk. ✓

Explanation

The investment objective for an asset-only asset allocation is to maximize the expected return per unit of risk (e.g., maximize the Sharpe ratio).

(Module 3.3, LOS 3.c)

Question #11 of 42

Question ID: 1580666

According to the modern portfolio theory, which risk is rewarded?

A) Systematic risk. ✓

B) Total risk. ✗

C) Efficient risk. ✗

Explanation

According to modern portfolio theory, only systematic risk is rewarded. Total risk (may be measured by standard deviation) comprises systematic and unsystematic risk.

(Module 3.4, LOS 3.f)

Question #12 of 42

Question ID: 1580663

Which of the following would indicate that the asset classes used for describing the returns of a portfolio are desirable?

A) Low R-squared and easily measured manager asset proportions.

B) High R-squared and easily measured manager asset proportions.

C) High R-squared and large confidence intervals.

Explanation

Desirable asset classes would explain a high proportion of portfolio returns—and, thus, have a high R-squared. The asset mix proportions for each manager should be easily measured.

(Module 3.4, LOS 3.e)

Question #13 of 42

Question ID: 1606707

Which of the following statements regarding the characteristics of asset classes is *most correct*? Asset classes should:

A) be negatively correlated.

B) not be highly correlated.

C) have an index.

Explanation

Asset classes should not be highly correlated with each other; this is a desired characteristic. Furthermore, asset classes should be mutually exclusive and collectively mutually exhaustive.

(Module 3.4, LOS 3.e)

Question #14 of 42

Question ID: 1580657

James Mason is the chief operating officer of the Homeless Mission Foundation (HMF), a foundation with the purpose of providing food, clothing, and shelter for homeless individuals. Mason is currently in the process of preparing a report to HMF's board recommending an asset allocation for the foundation. This year, Mason estimates that HMF's operating budget will be $2.75 million. To assist with preparation of his report, Mason has compiled the following data.

- The market value of the foundation is currently $50,000,000.
- The cost for providing services to homeless individuals is expected to rise at a rate of 3.0% per year.
- The board would like to maintain a cash cushion equal to half of the estimated operating budget to meet any unexpected expenses.
- Management fees for the foundation are estimated to be 0.40%.
- The board is willing to accept market risk to meet its long-term objectives, but the board wants to accept shortfall risk (defined as expected return minus two standard deviations) of no more than 15%.

Mason must recommend one of three different portfolios to the board. Mason's choice of portfolios is shown as follows:

Asset Class	**Portfolio A**	**Portfolio B**	**Portfolio C**
Large-cap U.S. stocks	24%	30%	20%
Small-cap U.S. stocks	10%	5%	13%
International—developed market equities	5%	13%	5%
International—emerging market equities	5%	5%	10%
U.S. corporate bonds	25%	20%	17%
U.S. Treasury bonds	20%	16%	21%
Real estate	5%	10%	10%
Cash	6%	3%	4%
TOTAL	**100%**	**100%**	**100%**
Expected annual total return (%)	7.85%	9.20%	8.80%
Expected standard deviation (%)	11.15%	12.10%	12.20%

In his report, Mason is going to recommend a portfolio based on three criteria: liquidity needs, return requirements, and shortfall risk. Which of the portfolios should Mason recommend?

A) Portfolio C.

B) Portfolio B.

C) Portfolio A.

Explanation

Liquidity requirements—Mason's notes stated that the portfolio needs to maintain cash equal to 50% of the estimated operating budget. This means that cash in the portfolio needs to be equal or greater than [(2.75)(0.5)] / 50 = 2.75%. All of the portfolios meet the liquidity requirement.

Return requirements—Spending is equal to (2.75 / 50) = 5.5%. With inflation of 3.0% and management fees of 0.40%, the return requirement is 5.5 + 0.4 + 3 = 8.9%. Only Portfolio B meets the return requirement.

Shortfall risk—The shortfall risk for each portfolio is as follows:

Portfolio A: 7.85% – (2 × 11.15%) = –14.45%

Portfolio B: 9.20% – (2 × 12.10%) = –15.00%

Portfolio C: 8.80% – (2 × 12.20%) = –15.60%

Therefore, only Portfolios A and B meet the shortfall risk requirement.

Because Portfolio B is the only one to meet all three requirements, Portfolio B is the best choice.

(Module 3.3, LOS 3.d)

Question #15 of 42

Question ID: 1580673

With respect to the global market portfolio, which of the following statements is *least accurate*? The global market portfolio:

A) lies on the steepest-sloping and feasible capital market line.

B) is the portfolio that minimizes unsystematic risk.

C) contains only asset classes that trade throughout the capital markets.

Explanation

The global market portfolio is the portfolio that is defined at the tangency point of the capital market line (CML) that joins the risk-free asset and the efficient frontier (i.e., the feasible CML that maximizes the Sharpe ratio) and is fully diversified; thus, it has minimized company-specific unsystematic risk. It includes all assets—whether traded in the capital markets or not. Hence, it contains market risk (systematic risk), which theoretically cannot be further diversified. The resulting weights are based on market capitalization.

(Module 3.6, LOS 3.h)

Question #16 of 42

Question ID: 1580680

Tactical asset allocation analysis:

A) assumes that the investor's risk tolerance decreases with wealth. ✗

B) assumes lack of inefficiencies in the market. ✗

C) is often based on deviant beliefs. ✓

Explanation

Tactical asset analysis often operates on the assumption that the market overreacts to information.

Tactical asset analysis is typically performed routinely as part of a continuing asset management, attempts to take advantage of perceived inefficiencies in the relative prices of securities in different asset classes, and assumes that investor's risk tolerance is unaffected by changes in wealth.

(Module 3.6, LOS 3.j)

Question #17 of 42

Question ID: 1551629

Which of the following statements regarding the portfolio management process is *least accurate*?

A) The investment advisor should consider the client's entire conventional balance sheet. ✓

B) The general portfolio construction, monitoring, and revising process is the same for both individuals and institutional investors. ✗

C) Capital market expectations are used to determine the appropriate asset classes for the client's strategic asset allocation. ✗

Explanation

The investment advisor should consider the client's entire economic (not conventional) balance sheet. For individuals, the economic balance sheet would include human capital on the asset side.

The general process of constructing, monitoring, and revising portfolios is the same for both individuals and institutional investors.

Capital market expectations are the macroeconomic circumstances used to determine the appropriate asset classes for the client's strategic asset allocation based on risk and return in relation to the client's investment policy statement (IPS).

(Module 3.1, LOS 3.a)

Question #18 of 42

Question ID: 1580665

Regarding the classification of sub-asset classes, which of the following statements is *most correct*?

A) Increasing granularity in asset classes is important to the strategic asset allocation process. ✗

B) Correlations between sub-asset classes within a broader asset class are likely to be high. ✓

C) Correlations between broad asset classes are likely to be high. ✗

Explanation

Sub-asset classes are divisions within a class, such as value versus growth within the equity class. They will not be as different from each other as the differences between broad asset classes (such as equity vs. fixed income). In other words, sub-assets within a broad class are relatively more highly correlated than broad asset classes are to each other. Broad asset classes are most important in SAA, not creating lots of sub-asset classes—which is what increasing granularity means. More sub-asset classes can be useful in TAA or strategy implementation.

(Module 3.4, LOS 3.e)

Question #19 of 42

Question ID: 1580667

Regarding the use of risk factors when making asset allocation decisions, which of the following statements is *most correct*?

A) Risk factors are as easy to invest in as an asset class. ✗

B) Multifactor models can be used to isolate systematic risk exposures. ✓

C) Risk factors cannot be used as units of analysis in asset allocation.

Explanation

Multifactor models can be used for asset allocation by creating factor portfolios, which isolate systematic risk exposures (i.e., nondiversifiable risks). Risk factors can be used as units of analysis in asset allocation. But one problem is that it is not always easy to determine how to invest in those identified risk factors. Some may be investable, and others may not. Asset classes are, by definition, assets that are owned and investable—though the cost and ease of investing varies.

(Module 3.4, LOS 3.f)

Question #20 of 42

Question ID: 1551637

Which one of the following *most closely* matches an advantage of the asset-liability approach over the asset-only approach to strategic asset allocation?

A) Liabilities and assets are highly correlated.

B) Asset classes have different systematic risk exposures.

C) Liability funding is more accurately controlled.

Explanation

The asset-liability approach to strategic asset allocation is desirable because liabilities are more accurately controlled.

(Module 3.3, LOS 3.d)

Question #21 of 42

Question ID: 1580674

Bruce Calloway is interested in using an appropriate asset allocation strategy for his portfolio. His long-term view of the capital market conditions is that there will always be change and opportunities to capture excess returns in the market. As a risk-neutral investor, he is a consistent risk taker, and his risk tolerance on his portfolio can be expected to be constant based on such market expectations. Which asset allocation strategy is the *most appropriate* strategy for his portfolio?

A) The dynamic strategic asset allocation strategy is most appropriate because this allows the capability to quickly move in and out of different assets as market conditions change.

B) The strategic asset allocation strategy is most appropriate because this strategy allows the portfolio to be periodically rebalanced according to market conditions.

C) The tactical asset allocation strategy is most appropriate because this strategy assumes the investor's risk tolerance is constant and his capital market expectations are subject to frequent change.

Explanation

The most appropriate asset allocation strategy is the tactical strategy. This strategy assumes that the investor's risk tolerance is constant and his capital market expectations are subject to frequent change. The tactical strategy assumes that investment allocation decisions are based on current market conditions, but the risk tolerances do not change with changes in wealth levels. For example, when the market conditions are bearish, the investor's view of risk does not change with respect to capital commitments to stocks and will allocate a consistent level of his portfolio to cash or bonds. In bull markets or when markets rally, the investor's risk tolerance will not change and would continue to allocate consistent amounts to stocks and cash or bonds.

(Module 3.6, LOS 3.i)

Question #22 of 42

Question ID: 1580660

Which of the following statements about the liability-relative and/or goals-based approaches is *least accurate*?

A) Both approaches consider assets in the context of meeting liabilities.

B) Mean-variance optimization (MVO) is appropriate for both approaches.

C) Surplus optimization is an example of the goals-based approach.

Explanation

Surplus optimization is an example of the liability-relative (not goals-based) approach, and liability-relative is based on principles from mean-variance asset allocation.

Both the liability-relative and goals-based approaches consider assets relative to liabilities. The main difference between the two approaches is that the liability-relative approaches focus on institutional investor liabilities, while the goals-based approaches focus on individual investor liabilities.

MVO is appropriate for asset-only and liability-relative approaches by incorporating expected returns, volatility, and correlations of asset classes. It is also applicable for the goals-based approach, whereby MVO is structured to maximize expected returns for a given level of risk or to meet a specified probability of success. MVO is then carried out for each goal portfolio rather than for the entire portfolio.

(Module 3.3, LOS 3.c)

Question #23 of 42

Question ID: 1580655

An economic balance sheet represents a current snapshot of an investor's complete economic situation for investment purposes. As an investor's time horizon changes, so do the extended portfolio assets and liabilities. Which of the following statements is the *most accurate* description regarding an economic balance sheet? Generally:

A) the ratio of financial capital to human capital decreases as an investor ages. ✗

B) as an investor ages toward retirement, the present value of the investor's human capital increases. ✗

C) the financial characteristics of target date funds most closely correspond with those of an economic balance sheet. ✓

Explanation

Target date funds alter the allocation toward risk as the investment horizon shortens and the required income generation increases. Within an economic balance sheet, the extended portfolio assets and liabilities vary such that the appropriate asset allocation must adapt in an effort to meet this dynamic. This is similar to how target date funds are designed. Human capital decreases through time. The ratio of financial capital to human capital, ideally, should increase as an investor ages. The allocation toward risky assets is directly proportional to the economic value of human capital.

(Module 3.2, LOS 3.b)

Question #24 of 42

Question ID: 1674559

Assignment of asset class weights for a portfolio based on long-term capital market expectations is called:

A) portfolio optimization. ✗

B) strategic asset allocation. ✓

C) tactical asset allocation. ✗

Explanation

Strategic asset allocation is the assignment of weights to different asset classes based on long-term capital market expectations. Tactical asset allocation is based on short-term capital market expectations.

(Module 3.4, LOS 3.g)

Question #25 of 42

Question ID: 1674557

What does strategic asset allocation allow managers to do with respect to systematic risk?

A) Identify and minimize. ✗

B) Reduce. ✗

C) Monitor and control. ✓

Explanation

Strategic asset allocation reflects the investor's desired systematic risk exposure and allows the manager to monitor and control risk—not to reduce or minimize it.

(Module 3.4, LOS 3.g)

Question #26 of 42

Question ID: 1580668

Asset classes may share different sources of risk. An alternative approach to asset allocation is the use of risk factors. Which of the following is *least accurate* regarding this approach?

A) Asset class characteristics are used to determine the different risk factors. ✓

B) Asset classes often have overlapping risk factors. ✗

C) Risk factors are often not directly investable. ✗

Explanation

Risk factors describe the sources of risk for an asset class, not the other way around. The objective of risk factors is to determine the systematic sources of risk of all asset classes and then construct an asset allocation around desirable exposures to these risk factors. Risk factors are often not investable (i.e., inflation). Asset classes often have overlapping risk factors. For example, credit and equities will have overlapping risk factors. Examples of risk factors include volatility, liquidity, inflation, interest rates, duration, foreign exchange, and default risk.

(Module 3.4, LOS 3.f)

Question #27 of 42

Question ID: 1580653

Which investment objective is *most appropriate* for an endowment?

A) To ensure there are sufficient assets to meet current and ongoing liabilities. ✗

B) To achieve a rate of return that exceeds the return required to fund current and ongoing distributions. ✓

C) To ensure there are sufficient assets for funding while adhering to constraints and risk preferences. ✗

Explanation

An endowment is primarily concerned with funding distributions. It does not have any predetermined liabilities per se (in contrast to a pension fund, for example). Adhering to constraints and risk preferences (i.e., willingness) is much more characteristic of an objective for an individual investor.

(Module 3.1, LOS 3.a)

Question #28 of 42

Question ID: 1674558

Strategic asset allocation reflects what systematic risk exposure?

A) Investor's desired systematic risk exposure. ✓

B) Asset class systematic risk. ✗

C) Long-term systematic risk exposure. ✗

Explanation

Strategic asset allocation reflects the investor's desired systematic risk exposure.

(Module 3.4, LOS 3.g)

Question #29 of 42

Question ID: 1674555

Which of the following is *least likely* a characteristic of strategic asset allocation?

A) Short-term capital market expectations. ✓

B) Investor risk and return objectives. ✗

C) Investor constraints. ✗

Explanation

Strategic asset allocation takes into account long-term capital market expectations and the investor's investment policy statement (risk/return objectives and constraints).

(Module 3.4, LOS 3.g)

Question #30 of 42

Question ID: 1551663

Tactical asset allocation is a deviation from the strategic asset allocation for the purpose of:

A) taking advantage of short-term capital market expectations. ✓

B) exceeding investor's return objectives. ✗

C) aligning with investor's risk preferences. ✗

Explanation

Tactical asset allocation deviates from Strategic asset allocation to take advantage of short-term capital market expectations.

(Module 3.6, LOS 3.i)

Question #31 of 42

Question ID: 1580659

Regarding asset allocation risk measures, which of the following statistical risk measures is *most likely* associated with a defined benefit plan using an asset-only approach?

A) The standard deviation of the overall portfolio. ✓

B) The standard deviation of the surplus. ✗

C) The standard deviation of the funding ratio. ✗

Explanation

For an asset-only approach, the relevant risk measure is the standard deviation of portfolio returns, which incorporates asset class volatilities and asset class return correlations. This case specifically says an asset-only approach is being used, and that is not uncommon for DB plans. Arguably, a liability-relative style is more appropriate, but the asset-only approach can implicitly deal with the liabilities by targeting a rate of return sufficient to meet the liability payouts.

(Module 3.3, LOS 3.d)

Question #32 of 42

Question ID: 1580654

Carla Smitz, CFA, is working with new, young clients Terry and Janice Dillard to develop their investment policy statement (IPS). Smitz should *most likely* take into consideration:

A) both their human capital and risk tolerance.

B) their risk tolerance.

C) their human capital.

Explanation

If the clients do not have an IPS, the manager should consider everything that relates to their complete financial situation.

(Module 3.2, LOS 3.b)

Question #33 of 42

Question ID: 1674556

Stokes Day Nursery is a nonprofit organization providing day care for children from low-income homes. The endowment that funds the nursery has a value of $8 million, and it is estimated that the nursery will need $360,000 in the current year to fund its operations. The nursery's expenses are expected to grow by 3% annually, in line with inflation. William Rose has been hired as a consultant to review Stokes Day Nursery's portfolio. The asset allocation for the current portfolio is shown as follows.

Asset Class	Allocation (%)	Expected Return
Cash	2%	3%
Intermediate-term Treasury bonds	35%	4.5%
High-quality corporate bonds	33%	5.0%
U.S. equities	25%	8.5%
Int'l equities (developed markets)	5%	10.0%
Int'l equities (emerging markets)	0%	12.0%

Rose makes four suggestions regarding the current portfolio:

Suggestion 1:	The allocation to cash should be higher.
Suggestion 2:	The allocation to intermediate-term Treasury bonds should be lower.
Suggestion 3:	The allocation to U.S. equities should be lower.
Suggestion 4:	The allocation to emerging market international equities is appropriate.

Which of the suggestions should the board of directors for Stokes Day Nursery agree with?

A) Suggestions 2 and 4.

B) Suggestions 1 and 3.

C) Suggestions 1 and 2.

Explanation

The board should agree with Suggestion 1—$360,000 is needed to fund the current year's expenses, representing 4.5% of the portfolio. The cash allocation should be higher to make sure the current year's expenses can be paid. The board should also agree with Suggestion 2—an endowment needs more growth to meet future needs as well as keep up with inflation. With a spending rate of 4.5% and an inflation rate of 3.0%, the endowment requires a return of at least 7.5%. The current allocation to bonds is too high. Given the growth needs of the endowment and the return projections of the asset classes, the allocation should be higher for U.S. equities and both emerging and developing market equities. Therefore, the board should not agree with Suggestions 3 and 4.

(Module 3.4, LOS 3.g)

Question #34 of 42

Question ID: 1580675

Deviation from the policy portfolio due to short-term capital market expectations is called:

A) tactical asset allocation. ✓

B) targeted asset allocation. ✗

C) strategic asset allocation. ✗

Explanation

Tactical asset allocation is the deviation from the policy portfolio (strategic asset allocation) based on short-term capital market expectations.

(Module 3.6, LOS 3.i)

Question #35 of 42

Question ID: 1674560

Strategic asset allocation is based upon:

A) long-term capital market expectations and the investment policy statement. ✓

B) long-term capital market expectations and risk/return preferences of the investor. ✗

C) short-term capital market expectations and the investment policy statement. ✗

Explanation

Strategic asset allocation is based on long-term capital market expectations (which forms the basis for the generation of the efficient frontier) and the investment policy statement (IPS) of the investor. The IPS includes not only the risk/return objectives of the investor but also the investor's constraints.

(Module 3.4, LOS 3.g)

Question #36 of 42

Question ID: 1580677

In terms of vehicles for implementing passive and active mandates within asset classes, which of the following investments would be the most passive approach?

A) Not managing the portfolio regarding any benchmark. ✗

B) Tilting the asset allocation toward a certain investment style index. ✗

C) Investing in the global market portfolio. ✓

Explanation

The most passive approach would include buying and holding a self-rebalancing, broad index of risky assets, such as the global market portfolio. Tilting allocation toward a certain investment style index is slightly more active given that it involves an active decision, but it still uses the passive implementation of indexing. The most active approach would include unconstrained mandates where the portfolio is not restricted in degree of deviation from its benchmark. Not managing the portfolio regarding any benchmark sounds like no IPS or SAA has ever been created and a likely ethics violation.

(Module 3.6, LOS 3.i)

Question #37 of 42

Question ID: 1580651

Which of the following is not part of an effective investment governance model?

A) Establishing client objectives. ✗

B) The process of setting an asset allocation. ✗

C) Determining manager compensation. ✓

Explanation

Determining manager compensation is not directly one of the elements. These are the six elements:

- Establish long-term and short-term investment objectives.
- Allocate the rights and responsibilities of all the involved parties.
- Specify processes for creating an investment policy statement (IPS).
- Specify processes for creating a strategic asset allocation.
- Apply a reporting framework to monitor the investment program's stated goals and objectives.
- Include a periodic review of the governance policies by an independent third party.

(Module 3.1, LOS 3.a)

Question #38 - 39 of 42

Question ID: 1551670

Strategic asset allocation:

A) establishes a portfolio's long-term asset class exposures by integrating each element of investment policy with capital market expectations. ✓

B) sets a portfolio's asset class exposures to unsystematic risk. ✗

C) involves short-term variations from an investor's normal asset mix. ✗

Explanation

Strategic asset allocation establishes a portfolio's *long-term* asset class exposures by integrating each element of investment policy with capital market expectations. It affords an investor the ability to control systematic risk exposures by aligning their risk and return objectives with the actual portfolio of investments. *Tactical* asset allocation involves adjustments away from the strategic mix to take advantage of *short-term* projections of relative asset class performance.

(Module 3.6, LOS 3.j)

Question #39 - 39 of 42

Question ID: 1618849

Concerning the discussion between Hanes and Allen about ALM versus asset-only allocation approaches:

A) only one is correct. ✓

B) both are incorrect. ✗

C) both are correct. ✗

Explanation

Hanes is correct, as ALM and asset-only approaches are used for *strategic*, not *tactical* asset allocation. With ALM, an investor's optimal asset allocation is directly related to explicit liability modeling. Allen is incorrect, as asset-only approaches are less precise than ALM for controlling risk. Immunization and cash management are ALM approaches.

(Module 3.3, LOS 3.c)

Question #40 of 42

Question ID: 1580672

Within the context of mean-variance optimization, the global market portfolio is represented as a portfolio:

A) with the highest expected return on the efficient frontier. ✗

B) with the lowest level of variance on the efficient frontier. ✗

C) that is on the line tangent to the efficient frontier. ✓

Explanation

The location of the market portfolio on the efficient frontier is found by drawing a line from the risk-free asset that is tangent to the efficient frontier. The point of tangency is known as the global market portfolio.

(Module 3.6, LOS 3.h)

Question #41 of 42

Question ID: 1580681

Several investment decisions remain to be made following the selection of an appropriate strategic asset allocation (SAA). These include the decision on how to rebalance the SAA back to the target allocations. Which of the following statements is *least accurate* regarding a rebalancing scheme?

A) Rebalancing must consider both the transaction cost and liquidity of the assets being rebalanced. ✗

B) Rebalancing triggers include calendar month, relative deviations from targets, and absolute deviations from target. ✗

C) Rebalancing is required as part of a risk budget. ✓

Explanation

Rebalancing is part of managing risk, but it is not necessarily part of the risk budgeting approach to portfolio management. Traditional rebalancing triggers include calendar (time), relative deviations from targets, and absolute deviations from target. Rebalancing rules are heavily dependent on the underlying liquidity of the assets and the associated cost of transacting. Rebalancing rules can often include a level of discretion of the responsible party; sometimes, this decision is influenced by the momentum of a particular asset class.

(Module 3.6, LOS 3.j)

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Which of the following strategic rebalancing considerations encourages the use of a wider rebalancing range?

A) Believing in price mean reversion.

B) Higher transaction costs.

C) More risk-averse investors.

Explanation

Higher transaction costs for an asset class imply wider rebalancing ranges. If investors believe that current trends will continue, an argument can be made for using wider rebalancing corridors. More risk-averse investors and beliefs in mean reversion both encourage tighter rebalancing corridors.

(Module 3.6, LOS 3.j)